

Once bitcoin and other cryptoassets are minted, miners can exchange them for other cryptoassets or the fiat currency of their choice. To do so, the miner must sell the cryptoasset to someone else, either over-the-counter (OTC) or through an exchange.

Many miners, and large investors, choose OTC services like those provided by Cumberland Mining, Genesis Trading, or itBit. OTC is not quite an exchange because the buy and sell orders are not out in the open. Instead, an entity like the aforementioned services matches large buys with large sells, which allows big trades to be made without moving the order books within an exchange. OTC is a potential path for accredited innovative investors that want to deploy large amounts of capital.

Most investors, however, acquire cryptoassets through an exchange. Depending on the exchange, they can connect their bank account, credit card, or deposit bitcoin. Trading in the more novel cryptoassets most often requires that the investor already has bitcoin, as the exchanges that offer these cryptoassets often don't have fiat currency onramps.

During the tumultuous beginning of bitcoin, when it was the only cryptoasset in existence, numerous exchanges opened and subsequently closed, and the reasons often weren't pretty: financial difficulties, hacks, criminal activities, and actions of various regulatory authorities, to name a few.¹⁵ It's important to recognize that in the early days of bitcoin, there was no exchange infrastructure, and since bitcoin was still in its